or excuse breaches of investment treaty protections, and the standard of review that tribunals apply when examining host state conduct. Together, these three issues have a significant impact on the scope of a host state's obligations under investment treaties. The fourth and final section discusses the calculation of compensation or damages if host states have breached investment treaties.

Relative standards of protection: MFN and NT

This first section introduces the two relative standards: MFN and NT. MFN and NT protect foreign investors from discrimination based on the nationality of the investor. With the exception of using MFN to import provisions from *other* investment treaties (see Table 4.2), MFN and NT have only played a peripheral role in the investment treaty regime. This is in contrast with the international trade regime, where relative standards of treatment are the core, and is arguably for three reasons. First, with respect to national treatment, Chapter 1 described that the trend in investment policy since the 1990s has been for states to provide established foreign investors with equal treatment, and, in some cases, better treatment than domestic investors. Second, the narrow prohibition of discrimination on grounds of nationality leaves host states leeway to distinguish between investors based on other criteria supported by legitimate policy objectives—for example, imposing more stringent environmental requirements on investment in sectors that have greater environmental impacts. Third, the MFN and NT provisions of most investment treaties apply only after an investment has been made in the host state ('post-establishment'). This leaves host states free to impose discriminatory requirements on the admission and establishment of new foreign investment ('pre-establishment').

This section begins by examining the application of these twin non-discrimination standards to investments that host states have already admitted, before turning to the more recent extension of NT and MFN obligations to the pre-establishment phase. This shift has major policy implications and promises a greater role for NT and MFN in the future (see further Chapter 6).

POST-ESTABLISHMENT MFN AND NT

NT and MFN clauses bar host states from drawing nationality-based distinctions among investors. MFN prevents host countries from treating foreign investors of one nationality better than foreign investors of another nationality. NT prevents host states from treating its own investors better than foreign investors. Both clauses are typically broadly formulated, and traditionally apply to all state conduct affecting foreign investment. They are not normally subject to significant exceptions.

Both clauses prohibit *de jure* and *de facto* discrimination. *De jure* discrimination refers to the situation when a legal instrument—for example, a law of the host state or another investment treaty (see the following text)—provides less favourable 'treatment' to foreign investors on grounds of nationality. *De jure* discrimination is simple to identify, as it arises from explicit nationality-based distinctions contained in legal texts (Schill 2009, 218–21)—for example, a law that explicitly imposes more onerous regulatory requirements on investors of one nationality than investors of another nationality. In claims for *de jure* discrimination, the main issue has been the types of 'treatment' that fall within the scope of the relevant treaty provision.

By contrast, *de facto* discrimination refers to the factually disparate treatment of investors/investments of different foreign nationalities in cases where relevant laws and policies do not expressly discriminate between investors by nationality. As the burden of complying with laws that are not explicitly discriminatory often falls more heavily on some investors than others, identifying *de facto* discrimination raises more complex and controversial questions than *de jure* discrimination. A particular source of controversy has been whether a law that purports to address a legitimate policy aim, such as the protection of the environment or public health, amounts to *de facto* discrimination because the burden of complying with that law falls more heavily on foreign investors than domestic investors. The following section discusses these issues.

POST-ESTABLISHMENT MFN

MFN clauses appeared in the earliest investment treaties (e.g. the Germany–Pakistan BIT of 1959), and more than 90 per cent of investment treaties contain them (Table 4.1).[2] To illustrate the implications of the MFN provision, consider the following combined MFN/NT clause in the Austria–Kazakhstan BIT (2010).[3]

> Each Contracting Party shall accord to investors of the other Contracting Party and their investments or returns treatment no less favourable than it accords to its own investors and their investments [NT] or to investors of any third country and their investments or returns [MFN] with respect to the management, operation, maintenance, use, enjoyment, sale and liquidation as well as dispute settlement of their investments or returns, whichever is more favourable to the investor.

[2] An exception to this trend is the Japan–Singapore FTA (Brown 2013, 360).

[3] In early investment treaties, both MFN and NT are frequently combined in a single provision. More recent investment treaties tend to contain separate and more detailed clauses, including exceptions—for example, Articles 3 and 4, US Model BIT 2012.

Under this MFN clause, Kazakhstan agrees to treat Austrian investors and investments at least as well as investors and investments from third countries. Austria made a reciprocal MFN commitment to Kazak investors. As such, Austria could not give more favourable treatment to US investors in an investment treaty or in an Austrian law than it gives to Kazakh investors. For example, if an Austrian law granted subsidies to established US investors in a particular sector, *established* Kazakh investors in that sector would be entitled to the same subsidy on account of the MFN provision of the Austria–Kazakhstan BIT. Crucially, for *de jure* discrimination, it is enough that a *hypothetical* investor in like circumstances be entitled to better treatment as a matter of law (Schill 2009, 519). A Kazakh investor would not need to identify a US investor operating in Austria that actually benefits from the subsidy.

There are at least three points of contrast between MFN obligations in the trade and investment treaty regimes.[4] First, in the investment regime, MFN obligations are bilateral, owed only to investors with the nationality of the other treaty party (here, by Austria to Kazakh investors and vice versa). In contrast, in the trade regime, MFN obligations are multilateral, owed by each WTO member to all 163 other WTO members (WTO 2016). Second, the scope of the MFN obligation in the trade regime operates 'within the relatively confined framework of the WTO covered agreements' (McRae 2012, 19). For example, the GATS allowed WTO members to provide for MFN exemptions on accession. Third, built-in exceptions to MFN in investment treaties are rare, unlike in trade agreements. For example, Article XXIV of the GATT carves out FTAs and custom unions from the operation of the MFN clause to the extent necessary for their formation (Bhagwati 2008)—a very significant limitation of MFN, given the proliferation of FTAs.[5]

Whereas MFN has played an important role in the trade regime (Kurtz 2016), its role in the practice of investment treaty arbitration has been limited. To date, no investment tribunal in a publicly available award has found that a host state breached MFN by treating a foreign investment from one state worse than a foreign investor from a third state (see Table 4.2, cf. also Caron and Shirlow 2015, 400). Thus far, MFN has exclusively functioned as an enabling device to import more favourable provisions from another investment treaty. This is by far the most important practical effect of MFN provisions in the modern investment treaty regime, and therefore the focus of the paragraphs in the following text.

[4] The comparison in this paragraph is between the WTO and investment treaties, leaving aside the MFN provisions of trade in goods and trade in services chapters of PTAs. Note that few disputes under PTAs are resolved in formal dispute settlement, with the exception of NAFTA and Mercosur (Davey 2007). See generally Allee and Elsig (2015).

[5] Similar carve-outs are found in some investment treaties—for example, those based on Singapore's de facto model BIT (Ho 2013, 637)—but are surprisingly uncommon.

Although most investment treaties share a common core of substantive protections, there is a degree of variation in such provisions between treaties. This heterogeneity of obligations, coupled with the reference to all 'treatment' in typical MFN clauses, has opened up space for arguments that the (higher) level of protection promised to foreign investors of a third state by an investment treaty between the host state and a third state qualifies as 'treatment' under MFN clauses. Under this interpretation of MFN, host states are bound to extend the most advantageous protections granted to the foreign investors of *any* of its treaty partners to a foreign investor that is covered by an investment treaty containing an MFN clause. Accordingly, some tribunals have allowed foreign investors covered by one investment treaty to invoke more generous substantive and procedural obligations contained in a host state's other investment treaties.

In this way, MFN clauses serve to 'multilateralize' substantive and potentially procedural guarantees across the investment treaty network (Schill 2009). The effect is to harmonize upwards states' obligations to foreign investors to the highest level of protection provided in *any* treaty of the host state. As a result, a state may owe foreign investors in its territory a combination of obligations that are more onerous than those found in any one investment treaty (considered individually) to which it is a party. Despite being made up of bilateral treaties, MFN provisions thereby give the investment treaty regime a multilateral flavour. Apart from the practical implications, this is also important for how empirical researchers test the effects of investment treaties, something we return to in Chapter 6.

One of the known investment treaty arbitrations in which the investor successfully relied on the MFN to import substantive protections from another investment treaty is *White Industries v. India* (2011). An Australian investor in India sought compensation under the Australia–India BIT for the Indian court system's 8-year delay in enforcing a commercial arbitration award against an Indian state-owned company. The Australia–India BIT did not contain any provisions explicitly dealing with judicial processes; however, it did contain a standard post-establishment MFN provision. The tribunal accepted the investor's argument that the investor was entitled to use this MFN provision to rely on a provision of the Kuwait–India BIT, in which India guaranteed to provide Kuwaiti investors with an 'effective means of asserting claims and enforcing rights with respect to investments'. The tribunal held that India breached this standard.

This importation of substantive provisions from other investment treaties contrasts with how MFN provisions work in the trade regime. Even more controversial, however, is whether MFN clauses allow investors to invoke more favourable *procedural* dispute settlement guarantees in other treaties (Banifatemi 2009; Douglas 2010; Maupin 2011). The answer again turns on the range of 'treatment' that the MFN provision in question covers, and, more precisely, whether MFN clauses cover variations of arbitral procedure, and the extension of subject matter and temporal jurisdiction. As most MFN provisions do not specify whether 'treatment' includes procedural rights conferred by other treaties, it has fallen to arbitral tribunals to resolve this matter.

As Table 4.3 shows, arbitral tribunals are divided on whether MFN can be used to invoke more favourable dispute settlement procedures in other investment treaties. For example, in the case of *Maffezini v. Spain* (2000), a foreign investor successfully used an MFN provision in the Argentina–Spain BIT to circumvent a procedural requirement in that BIT to exhaust local remedies—that is, to litigate first in the Spanish domestic courts—before commencing arbitration. Another Spanish BIT did not contain this procedural requirement. The tribunal's rationale was that such procedural advantages under this second BIT were 'essential for the adequate protection of the [substantive] rights they sought to guarantee' and, therefore, fell within the range of 'treatment' covered by an MFN clause of the Argentina–Spain BIT (para. 55). Other tribunals have disagreed with this reasoning, however, and stressed the undesirability of displacing specifically negotiated procedures between the two state parties (*Plama v. Bulgaria* 2005).

Table 4.3 Use of MFN to import different types of provisions

	MFN invocation successful?		
Type of MFN question	Yes	No	Dissent
Change arbitral procedure	11	3	4
Extend temporal scope	0	2	0
Expand subject matter scope	1	11	3
Import substantive obligations	9	1	0
Better treatment	0	13	0
Totals	21	30	7

Note: *Change in arbitral procedure*: investor attempts to invoke more favourable dispute settlement procedures in another investment treaty. *Extend temporal scope*: investor attempts to invoke the broader temporal coverage of another investment treaty. *Expand subject matter scope*: investor attempts to invoke the broader range of 'investments' or government measures covered by another investment treaty. *Import substantive obligations*: investor attempts to invoke substantive protections contained in other investment treaties. *Better treatment*: the investor alleges that the host state offered better treatment—other than in a third investment treaty—to investments/investors of a third nationality. The table is limited to decided cases that are publicly available (a significant number of pending and settled cases in which investors invoked the MFN clause but no further information is available is left out). For the last two categories—the importation of substantive obligations and better treatment—the table only includes cases where the tribunal reached a finding on the investor's MFN claim (i.e. it excludes cases in which the tribunal declined jurisdiction and also cases such as *Bilcon v. Canada* (2015) in which the tribunal did not decide the MFN claim). In addition, in four cases in the fourth category, tribunals did not allow the investor to bypass exceptions based on the MFN clause, or found that the investor failed to show that another BIT was more favourable. In another dozen cases, tribunals did not decide the claim that investors could use the MFN clauses to import substantive provisions.

Source: Authors' coding of arbitral awards. The first three rows draw on Box 2 in Maupin (2011, 172), extended and updated by the authors.

Foreign investors have also attempted to use MFN provisions to expand the coverage of an investment treaty to include types of disputes and investments that fall outside the coverage of the treaty in question, but within the broader jurisdictional parameters of another of the host state's investment treaties. There is virtually no support among tribunals for the use of MFN clauses to expand an investment treaty's jurisdictional scope in this way. This is because an investor is only able to benefit from the MFN provision of an investment treaty if it first establishes that it falls within the scope of that treaty's coverage. An investor that falls outside the coverage of an investment treaty is simply not entitled to the benefit of that treaty's MFN provision, meaning that it has no entitlement to demand more favourable treatment of any sort provided by a host state's other investment treaties.

The extent to which MFN provisions allow investors covered by one investment treaty to benefit from the more favourable substantive and procedural provisions of other investment treaties has been controversial. In response, some states have begun to draft MFN provisions in new investment treaties more precisely.[6] For example, the Austria–Kazakhstan BIT cited in the preceding text expressly extends MFN to dispute settlement—a reaction to arbitral awards that excluded procedural matters from MFN clauses. Conversely, the MFN provisions of other new investment treaties, such as the TPP, explicitly prevent the importation of procedural provisions from other investment treaties.[7] Some new treaties, such as CETA, go even further and prevent the importation of *both* substantive and procedural treaty provisions.[8] Such limits on importation of terms from other investment treaties are essential if a state wishes to enter into new investment treaties that grant lower levels of protection than its existing treaties. Moreover, the approach in CETA is similar to how MFN clauses operate in the trade regime. If CETA is ratified and future investment treaties were to follow this approach, the operation of MFN clauses in the trade and investment regime could converge (see Kurtz 2016).

POST-ESTABLISHMENT NATIONAL TREATMENT

Although a standard provision in modern investment treaties, NT was less commonly included in investment treaties in the early years of the regime than

[6] In Chapter 9, we return to *greater precision* as one technique by which states have reasserted control over the investment treaty regime.

[7] Article 9.5 (3) TPP 2016.

[8] Article X.7 CETA 2016: 'For greater certainty, the "treatment" referred to in Paragraph 1 and 2 does not include investor-to-state dispute settlement procedures provided for in other international investment treaties and other trade agreements. Substantive obligations in other international investment treaties and other trade agreements do not in themselves constitute "treatment", and thus cannot give rise to a breach of this article, absent measures adopted by a Party pursuant to such obligations'.

MFN (see Table 4.1). Some countries—such as China—still subject NT provisions to qualification or limitation (Gallagher and Shan 2013, 160). The purpose of NT provisions is to ensure a 'level playing field' between domestic and foreign investors (Dolzer and Schreuer 2012, 198). The metaphor of a *playing field*—also influential in the international trade regime—invokes a relationship between competitors. Notwithstanding the widespread acceptance of the *playing field* metaphor, economic ideas about the nature and extent of competitive interactions among various investors and investments have played a surprisingly limited role in how arbitral tribunals interpret and apply investment treaties' NT provisions.[9]

NT has only played a minor role in the practice of the investment treaty regime to date. Insofar as NT claims have been brought to arbitration, most involve allegations of *de facto* discrimination (Bjorklund 2010, 411; Henckels 2015, 78). Among known cases, only eight tribunals have decided NT claims in favour of investors (see Table 4.2). All were under investment treaties that extend NT to the pre-establishment phase. And, with one exception, all were concerned with *general* measures affecting the *importation* of foreign-produced goods such as discriminatory taxes or quantitative restrictions—the traditional domain of trade law.[10]

Foreign investors need to meet two conditions to succeed in claims of *de facto* discrimination in breach of a guarantee of NT. They have to show that their investment has (i) been treated less favourably; than (ii) a comparable domestic investment. With respect to element (ii), the central question is whether particular domestic investments can reasonably be compared to the foreign investment in question. In answering this question, arbitral tribunals have also considered whether there is a reasonable justification for treating the foreign investment less favourably. For example, if a host state imposes more onerous environmental conditions on a foreign-owned gold mine than it imposes on a domestic-owned gold mine, this would normally breach NT. However, if the differences in environmental conditions resulted from a more polluting extraction technique used by the foreign-owned firm, or because the foreign-owned mine operated in a more ecologically sensitive area, an arbitral tribunal might regard these investments as not comparable. On this basis, a tribunal might regard any difference in treatment of the two mines as justified and, therefore, not a breach of NT.

[9] We examine the implications of economic ideas for the interpretation and application of NT provisions in Chapter 5.

[10] The only exception thus far is the arbitration *Bilcon v. Canada* (2015). It concerned a Canadian environmental review panel's rejection of a foreign investor's proposal for a new mining project. The NT claims at issue did not unequivocally concern post-establishment protection. Six of the NT claims were under the NAFTA and two under US investment treaties (both of which extend NT to the pre-establishment phase). We return to the distinction between general and specific measures in Chapter 9.

Arbitral tribunals have differed on the choice of comparator in NT claims. For example, in *Methanex v. US* (2005), the tribunal held that the treatment of a foreign investor should be compared to the treatment of domestic investors in the most similar situation. As such, it compared the treatment of a Canadian methanol producer to US-owned methanol producers and found no breach of NT. In reaching this conclusion, the tribunal held that the more beneficial treatment given to US *ethanol* producers was not relevant as a comparator. In contrast, in *Cargill v. Mexico* (2009), the tribunal found that Mexican producers of cane sugar were relevant comparators when considering the treatment of US-owned producers of high-fructose corn syrup operating in Mexico. (Both cane sugar and high-fructose corn syrup are used to sweeten soft drinks.) On this basis, a tax that applied to high-fructose corn syrup—but did not apply to cane sugar—breached NT. The tribunal in *Occidental v. Ecuador I* (2004) took an even broader approach to the choice of comparator in NT claims. It held that Ecuador's imposition of value-added tax on oil exports—but not on the export of other products—breached NT, even though the tax applied equally to oil exports by both foreign and Ecuadorian-owned companies. This is because the tribunal found that Ecuadorian companies in the mining, seafood, and cut flowers sectors were relevant comparators in assessing the treatment of a foreign investor in the oil sector, because all were involved in producing goods for export.[11]

Differences in treaty language are relevant in clarifying the basis for comparison in NT claims. As is typical of European BITs, the non-discrimination provision in the Austria–Kazakhstan BIT in the preceding text does not provide any guidance on the choice of comparator in NT, leaving the question entirely to the tribunal. NAFTA states that a foreign investor/investment should be compared to a domestic investor/investment 'in like circumstances', but leaves it up to the tribunal to determine when investors are 'in like circumstances'.[12] The TPP, which was signed but had not entered into force at the time of publication,[13] contains the further clarification that a determination of whether investors/investments are in like circumstances 'depends on the totality of the circumstances, including whether the relevant treatment distinguishes between investors or investments on the basis of legitimate public welfare objectives'.[14] This clarification directs tribunals to consider the justifications for any differences in treatment—for example, that the more onerous environmental conditions imposed on a particular foreign investment may be justified by its more serious environmental impacts.

[11] Other tribunals consider the extent to which the firms compete with one another—for example the *SD Myers v. Canada* case examined in Chapter 5.

[12] Articles 1103 and 1104 NAFTA 1992.

[13] As mentioned in Chapter 1, the TPP's prospects were uncertain at the time of writing, following President Trump's withdrawal of the US signature on 23 January 2017.

[14] Footnote 14 to Article 9.4 TPP 2016.

INVESTMENT LIBERALIZATION: NT AND MFN IN THE PRE-ESTABLISHMENT PHASE

As noted in Chapter 1, investment treaties historically did not limit states' ability to restrict or prohibit new foreign investment. While many older investment treaties require host states to 'encourage and admit' new foreign investment, these provisions are expressly subordinated to the host state's law, and toothless in practice.[15] Even today, about 90 per cent of investment treaties, including virtually all European BITs and the Energy Charter Treaty, do not contain binding provisions governing the admission of new foreign investment (UNCTAD 2015b, 3).

However, investment treaties increasingly do extend guarantees of NT and MFN to the entry and establishment of foreign investment. Such provisions are standard in recent Canadian, US, and Japanese BITs (Joubin-Bret 2008, 11). They are also an increasingly common feature of multilateral investment treaties[16] and the investment chapters of multi-issue preferential trade agreements (PTAs) (see Table 4.2).[17] Under this approach, non-discrimination extends to the 'admission', 'establishment,' and 'acquisition' of investments, as opposed to only applying to the 'management', 'conduct,' and 'operation' of investments (post-establishment). For example, NAFTA Article 1102 states that each state 'shall accord NT with respect to the *establishment*, *acquisition*, expansion, management, conduct, operation, and sale or other disposition of investments'.

The application of NT and MFN provisions to the pre-establishment phase is sometimes described as creating 'market access' obligations (e.g. Sacerdoti 1997, 321–31; DiMascio and Pauwelyn 2008, 56). However, the use of the term 'market access' in this context is confusing. Provisions such as NAFTA Article 1102 do not prevent states from placing restrictions and conditions on the admission and establishment of new investment in their territory, so long as such restrictions and conditions do not discriminate by nationality.[18]

Nevertheless, the application of NT to the pre-establishment phase potentially prohibits the use of restrictions on new foreign investment in the pursuit of other policy objectives. For example, many states limit foreign investment in strategic industries on national security grounds; regulate foreign investment in the media sector to ensure plurality; limit the ability of foreign

[15] For example, Article 3, French Model BIT 2006: 'Each of the Contracting Parties encourages and admits, *in accordance with its legislation* and the provisions of the present Agreement, investments . . . '.

[16] For example, Article 5, ASEAN Comprehensive Investment Agreement, 2009.

[17] For example, Articles 9.4 and 9.5, TPP 2016; Article X.4, CETA 2016.

[18] Moreover, the term 'market access' in trade treaties refers to a specific set of obligations concerned with the elimination of quantitative restrictions (e.g. Article XVI, GATS; Chapter 10, Article X.4, CETA). 'Market access' provisions in this specific sense of the term differ from pre-establishment MFN and NT.

nationals to own land; impose joint venture requirements on foreign investment in particular sectors to encourage technology transfer to local firms; and place restrictions and conditions on foreign investment to protect local firms from foreign competition. Absent relevant exceptions, such measures breach NT in the pre-establishment phase.[19] For instance, Singapore applies an additional buyer's stamp duty of 15 per cent to foreign nationals buying land.[20] As a result of the unqualified NT obligation in the Singapore–US FTA 2001, US citizens are entitled to the same treatment as Singaporeans, and, consequently, do not need to pay the higher rate of tax (unlike, for example, Chinese, Indonesian, or Malay citizens purchasing property in Singapore) (Vaughan 2013).

Pre-establishment NT and MFN obligations have played no role in investment treaty arbitration to date. Time will tell whether they acquire greater importance. Yet, even in the absence of claims brought to arbitration, the extension of MFN/NT obligations to the pre-establishment phase could have powerful behind-the-border effects in requiring host states to remove or amend discriminatory restrictions on foreign investment. We return to the issue of the impact of investment treaties on state decision-making in Chapters 5, 6, and 9—an important area for further research.

Absolute standards of protection

We now turn to four 'absolute' standards of protection: expropriation, FET, umbrella clauses, and free transfer of funds. These standards of protection are 'absolute' in the sense that they require host states to guarantee certain standards of treatment to foreign investors and investments covered by the treaty, regardless of how other investors and investment are treated. We focus on these four absolute standards, as they typically capture breaches of other substantive protections as well—such as the prohibition of arbitrary, unreasonable, or discriminatory measures, which overlaps significantly with FET and NT.

NO EXPROPRIATION WITHOUT COMPENSATION

Expropriation refers to state conduct that deprives investors of title to property, or otherwise substantially deprives investors of their investments.[21] Investment treaties allow states to expropriate foreign investments, but this right is subject to the payment of compensation (see again the discussion of

[19] Figure 8.4 shows exceptions to pre-establishment national treatment in selected US treaties.
[20] Inland Revenue Authority of Singapore (2016).
[21] We use the terms 'nationalization' and 'taking' as synonyms for 'expropriation'.